

Greater share: On States and central taxes

States deserve a bigger share of central taxes in post-GST era

Prime Minister Narendra Modi's **exhortation** to the Chief Ministers **gathered** at the 10th Governing Council Meeting of NITI Aayog over the weekend, in New Delhi, that the Centre and States should come together as "Team India" to **propel** the country forward, is a good **sentiment**; but, it **belies** reality. The Centre-States relationship right now is a one-way street, with the Centre **resorting to** the **stick**, and, occasionally, to the **carrot method**, to make the States **comply with** its wishes. The States are finding it increasingly difficult to **voice** their **often** genuine and serious **grievances** at the national level since **federal bodies** such as the NITI Aayog Governing Council or the Goods and Services Tax (GST) Council do not meet often. Meeting once a year is not nearly enough for the Governing Council of a body whose very first objective is to develop a "shared vision of national development priorities". The GST Council, too, has not met in more than five months, when **regulations** say it should meet at least once a quarter. So, when the States do get a chance to speak at the national level, as they did on Saturday, most have no choice but to focus on their individual problems or achievements rather than on a collaborative 'Team India' approach. There were, however, some **notable deviations** where Chief Ministers looked beyond their States' borders in an attempt to **drive** national growth. One was Andhra Pradesh Chief Minister N. Chandrababu Naidu's proposal for the creation of three sub-groups of States to focus attention on the issues of GDP growth and investments, **leveraging** India's **demographic bounty**, and using technology to drive **governance**. Sub-groups are a good way for the Centre to **bring States on board**, if it finds a body comprising all States to be too **unwieldy**.

The most **notable pan-India** suggestion was probably Tamil Nadu Chief Minister M.K. Stalin's call for the Centre to share 50% of its tax revenue with the States, up from the current formula of 41%. This is an issue that certainly requires more discussion. The **implicit condition** behind the Centre providing States compensation for any losses arising out of GST for five years **was** that the States would use this time to **bolster** their own tax revenues. While progress on this has been **patchy** — with some States doing far better than others — it has **nevertheless** been significant. The States' combined own tax **revenues** as a percentage of Gross State Domestic Product (GSDP) **grew** from 6.6% in 2017-18 to 7.2% in 2024-25. On the other hand, GST has failed to **live up to** its **potential**, with net revenues only recently **surpassing** pre-GST indirect tax levels. Since GST **subsumed** many of the States' **levies**, it seems only fair that the Centre seriously consider their demand for a bigger share in central taxes.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denote 'subject' and 'blue' denotes 'verb'.

[Practice Exercise]

Vocabulary

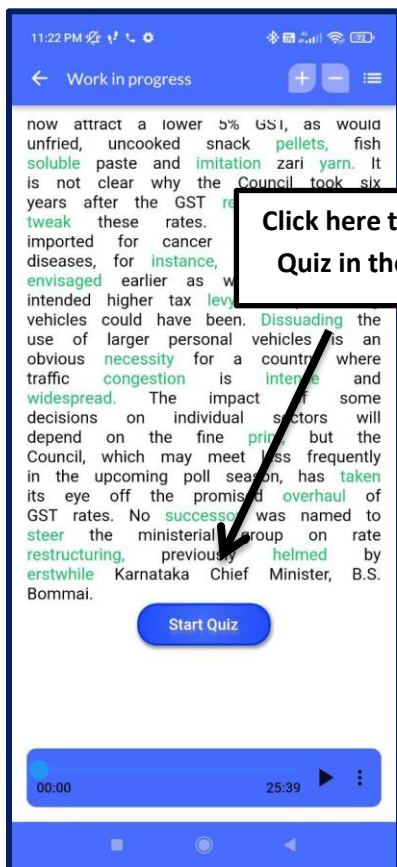
1. **Era** (noun) – age, period, epoch, time, phase युग
2. **Exhortation** (noun) – urging, encouragement, appeal, persuasion, advice उत्साहवर्धन / उपदेश
3. **Gather** (verb) – assemble, convene, collect, congregate, muster एकत्र होना
4. **Propel** (verb) – drive, push, advance, thrust, move forward आगे बढ़ाना
5. **Sentiment** (noun) – feeling, emotion, opinion, attitude, view भावना / सोच
6. **Bely** (verb) – contradict, misrepresent, falsify, conceal, disguise झुठलाना
7. **Resort** (to) (verb) – turn to, fall back on, use, adopt, rely on सहारा लेना
8. **The carrot and the stick** (phrase) – a method of inducing good behavior through a combination of rewards and punishments. साम दाम दंड भेद
9. **Comply** (with) (verb) – obey, follow, adhere to, conform to, respect पालन करना
10. **Voice** (verb) – express, state, communicate, articulate, convey व्यक्त करना
11. **Often** (adverb) – frequently, regularly, repeatedly, commonly, many times अक्सर
12. **Grievance** (noun) – complaint, objection, protest, resentment, dissatisfaction शिकायत
13. **Federal body** (noun) – a group, committee, or organization that operates under a federal government structure, meaning power is divided between a central authority and regional or state governments. संघीय निकाय
14. **Regulation** (noun) – rule, law, directive, guideline, provision नियम
15. **Notable** (adjective) – remarkable, noteworthy, significant, prominent, important उल्लेखनीय
16. **Deviation** (noun) – divergence, departure, variation, anomaly, digression विचलन
17. **Drive** (verb) – push, propel, lead, guide, stimulate प्रेरित करना
18. **Leverage** (verb) – utilize, exploit, capitalize on, use, apply लाभ उठाना
19. **Demographic bounty** (noun) – population advantage, human resource benefit, workforce dividend, youth dividend, age-related asset जनसांख्यिकीय लाभ
20. **Governance** (noun) – administration, management, leadership, control, regulation शासन
21. **Bring someone on board** (phrase) – to convince someone to agree with you,

- support your idea or plan, or join a group or activity. साथ लाना / शामिल करना
22. **Unwieldy** (adjective) – cumbersome, clumsy, unmanageable, awkward, bulky कठिन
23. **Notable** (adjective) – (repeat) – noteworthy, remarkable, outstanding, important, exceptional महत्वपूर्ण
24. **Pan-India** (adjective) – nationwide, across India, all-India, throughout the country पूरे भारत में
25. **Implicit** (adjective) – implied, unstated, understood, indirect, tacit अंतर्निहित
26. **Bolster** (verb) – strengthen, support, boost, reinforce, enhance मजबूत करना
27. **Patchy** (adjective) – uneven, inconsistent, irregular, scattered, variable असंगत
28. **Nevertheless** (adverb) – however, still, yet, even so, nonetheless फिर भी
29. **Live up to something** (phrase) – fulfill, meet expectations, match, achieve, deliver खरा उतरना
30. **Potential** (noun) – capability, possibility, promise, capacity, prospect क्षमता
31. **Surpass** (verb) – exceed, outdo, outperform, overtake, transcend पीछे छोड़ना
32. **Subsume** (verb) – include, absorb, incorporate, merge, integrate सम्मिलित करना
33. **Levies** (noun) – taxes, duties, charges, tariffs, impositions कर / शुल्क

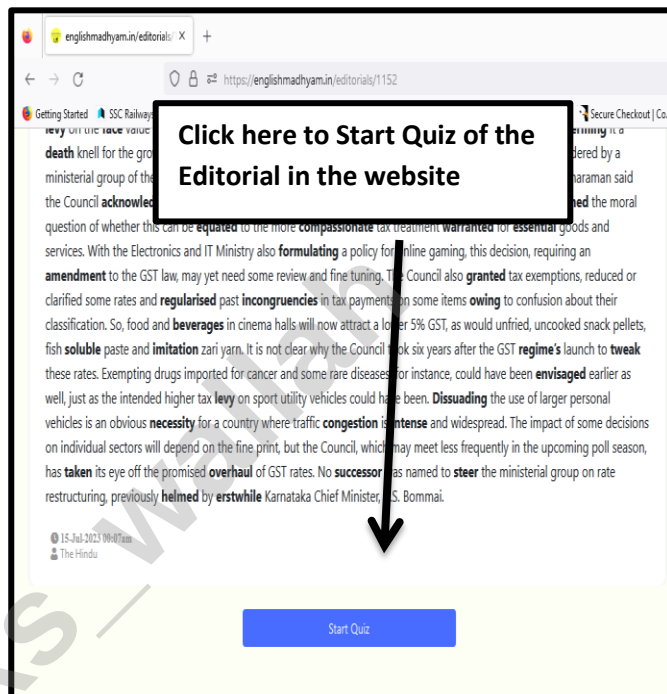
Summary of the Editorial

1. **PM Modi's Call** – The Prime Minister urged States to work with the Centre as “Team India” at the NITI Aayog Governing Council meeting.
2. **One-sided Federalism** – Despite the rhetoric, the Centre often dominates Centre-State relations using pressure tactics rather than cooperation.
3. **Limited Platforms** – States lack regular opportunities to express their concerns as bodies like NITI Aayog and the GST Council meet infrequently.
4. **Meeting Gaps** – The GST Council hasn't met in over five months, violating its quarterly meeting requirement.
5. **Narrow Focus** – When meetings do happen, States focus on individual issues rather than national collaboration due to the rarity of such platforms.
6. **Constructive Suggestions** – Some leaders, like Andhra Pradesh CM Chandrababu Naidu, proposed broader ideas for national development.
7. **Naidu's Proposal** – He suggested forming three sub-groups of States focused on GDP growth, demographics, and technology-driven governance.
8. **Practical Approach** – Sub-groups could be an effective way to engage States if a full collective body proves difficult to manage.
9. **Tamil Nadu's Demand** – CM M.K. Stalin called for increasing States' share in central taxes from 41% to 50%.
10. **Need for Discussion** – The proposal for a higher tax share is significant and deserves thorough national-level debate.
11. **GST Compensation Period** – The Centre had agreed to compensate States for GST-related losses for five years, expecting States to improve their tax systems.
12. **Mixed Progress** – Some States have improved tax collections more than others, but overall progress has been visible.
13. **Growth in Tax Revenue** – States' own tax revenues rose from 6.6% of GSDP in 2017–18 to 7.2% in 2024–25.
14. **GST Underperformance** – GST has only recently surpassed pre-GST indirect tax collections, disappointing its revenue expectations.
15. **Fair Share Logic** – Since GST absorbed many State taxes, the Centre should now seriously consider sharing a larger portion of tax revenues with the States.

Practice Exercise: Banking Pattern Based



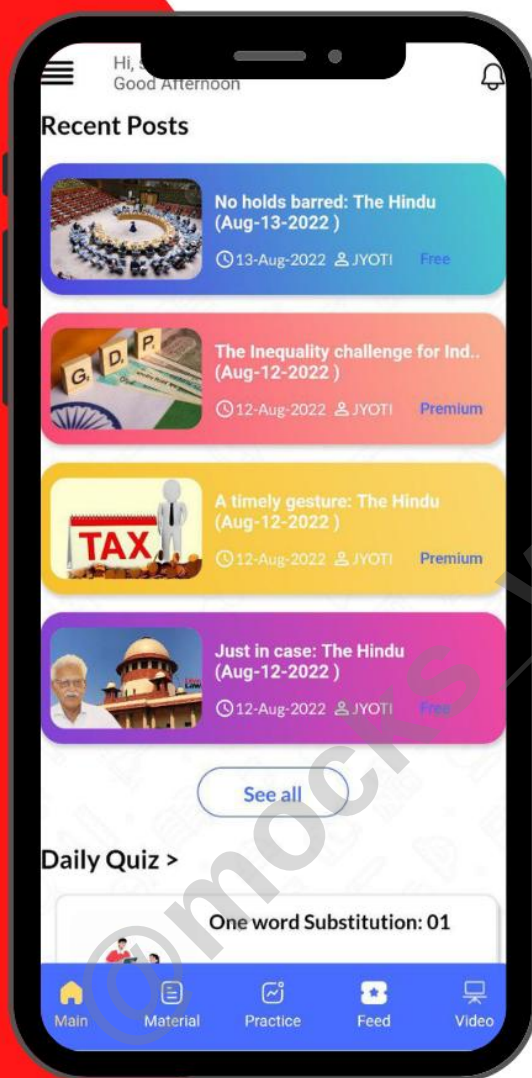
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